Experiment 7 Instructions

This experiment consists of two parts. First, you will choose between two hypothetical lotteries. Your choices in the lotteries have no impact on the second part of the experiment. In the second part, you will play a simple card game. Each of you will be given four cards: two of these cards are red (hearts or diamonds), and two of these cards are black (clubs or spades). All of your cards will be the same number. The exercise will consist of a number of rounds. When a round begins, I will come to each of you in order, and you will play ***two*** of your four cards by placing these two cards face down on top of the stack in my hand. Your earnings in dollars are determined by what you do with your red cards.

In each of the first four rounds, for each red card that you keep, you will earn six dollars for the round, and for each black card that you keep, you will earn nothing. Red cards that are placed on the stack affect everyone's earnings in the following manner. *I will count up the total number of red cards in the stack, and everyone will earn this number of dollars.* Black cards placed on the stack have no effect on the count. When the cards are counted, I will not reveal who made which decisions. I will return your own cards to you at the end of the round by coming to each of you in reverse order and giving you the top two cards, face down, off the stack in my hand. To summarize, your earnings for the round will be calculated:

earnings = six dollars times the # of red cards you kept
+ one dollar times the total # of red cards I collect

After round four, the game's structure will change, and after round eight, the game's structure will change again.

Use the Earnings Record Sheet to record your decisions, your earnings, and your cumulative earnings. At the end of the experiment, the person with the highest earnings across both parts will receive one extra credit point. (Instructions continued on the back).

Earnings Record Sheet **Name:** _____

Round	Red Cards Kept	$ per Red Card Kept	Earnings for Cards Kept	$1 × (Total # of Red Cards in Stack)	Total Earnings this Round	Cumulative Earnings	Random Number
1							n/a
2							n/a
3							n/a
4							n/a
5							
6							
7							
8							
9							
10							
11							
12							

At the end of the experiment, your sheets will be collected, and a ticket will be randomly drawn for the lotteries to determine your payoffs. Are there any questions?

Please read and indicate your decision for the following lotteries:

Lottery 1

You have an initial budget of 0 euros. You can purchase tickets for a lottery. There are four tickets, numbered from 1 to 4, inside a transparent urn. One ticket will be randomly drawn. Each ticket has an equal chance of being drawn. You need to indicate how many tickets you would buy if you found yourself in this situation. The cost of each ticket is 0 euros, but:

If you buy 1 ticket (ticket no. 1)
- you win 430 € if ticket 1 is drawn;
- you win 0 € if a ticket from 2 to 4 is drawn.

If you buy 2 tickets (tickets no. 1 and 2),
- you win 210 € if ticket 1 or 2 is drawn;
- you win 0 € if ticket 3 or 4 is drawn.

If you buy 3 tickets (tickets no. 1, 2, and 3),
- you win an additional 137 € if a ticket from 1 to 3 is drawn;
- you win 0 € if ticket 4 is drawn.

If you buy all 4 tickets,
- you are guaranteed to win 100 € regardless of which ticket is drawn.

Indicate your decision on this sheet by circling one of the following options:

I buy 1 ticket I buy 2 tickets I buy 3 tickets I buy 4 tickets

Lottery 2

You have an initial budget of 600 euros. Just like in the previous section, there are four tickets, numbered from 1 to 4, inside a transparent urn. One ticket will be randomly drawn. Each ticket has an equal chance of being drawn. You need to indicate how many tickets you would buy if you found yourself in this situation. The cost of each ticket is 0 euros, but:

If you buy 1 ticket (ticket no. 1),
- you lose 170 € if ticket 1 is drawn;
- you lose all 600 € if a ticket from 2 to 4 is drawn.

If you buy 2 tickets (tickets no. 1 and 2),
- you lose 390 € if ticket 1 or 2 is drawn;
- you lose all 600 € if a ticket from 3 or 4 is drawn.

If you buy 3 tickets (tickets no. 1, 2, and 3),
- you lose 463 € if a ticket from 1 to 3 is drawn;
- you lose all 600 € if ticket 4 is drawn.

If you buy all 4 tickets,
- you lose exactly 500 € regardless of which ticket is drawn.

Indicate your decision on this sheet by circling one of the following options:

I buy 1 ticket I buy 2 tickets I buy 3 tickets I buy 4 tickets